Contents

AMIS MARKET MONITOR

No. 76 – March 2020

The manifold social and economic effects of the fast-spreading coronavirus disease (COVID-19) around the world have yet to be reckoned with. Apart from the many uncertainties faced in assessing its impacts, which can be expected to vary significantly from sector to sector, agricultural commodity markets are braced for a cascade of negative factors lasting at least throughout the first half of this year. Against this backdrop, the FAO-AMIS early projection for another year of near-record wheat production in 2020 is an important consolation not to be discounted.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	▲	▼
Soybeans	▼	▼

▲ Easing ▬ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

Food markets are not immune to the impacts of the coronavirus outbreak, but effects will mostly be local

After only two months since the first reported outbreak of a novel coronavirus in Wuhan, a city of 11 million in China's central province of Hubei, it has already spread to almost 80 countries worldwide (according to the World Health Organization as of 5 March 2020). With more than 90 000 confirmed cases and over 3 000 deaths, COVID-19 has become the most important global health scare since SARS in 2003. China still accounts for the majority of cases, but latest figures suggest that the number of new infections outside of China largely outpaces those inside the country. In comparison, SARS, which also originated in China, spread to 26 countries, infected about 8 000 people and claimed 774 lives. Although SARS was contained rather quickly (within four months), it still caused significant panic and economic cost, which mostly fell on China as the most affected country. The implications of COVID-19 will likely be much greater.

Apart from more people and countries being affected, the world of 2020 is also very different from the one when SARS broke out. Today, markets are more integrated and interlinked, with a Chinese economy that contributes 16 percent to the global gross domestic product, four times as much as in 2003. Thus, any shock that affects China now has far greater consequences for the world economy. This week, the OECD cut its forecast for global economic growth in 2020 from 2.9 percent to 2.4 percent, which would be the lowest level since the financial crisis a decade ago, warning that a prolonged and more intensive coronavirus epidemic could even halve this figure to a mere 1.5 percent.

Global food markets – and the markets for the four AMIS commodities – are of course not immune to these developments. However, they are likely to be less affected than other sectors that are more exposed to logistical disruptions and weakened demand, such as travel, manufacturing and energy markets. While basic food commodities may face some constraints stemming from transport interruptions and quarantine measures, impacts are expected to be less severe and shorter in duration. Also, global reserves of non-perishable goods such as wheat and rice should be sufficient to meet any imminent demand. This is especially so when external shocks are of relatively brief duration as this episode is hoped to be.

While slower economic growth often leads to a loss of appetite for value-added foods, including meat and vegetable oils, the demand for basic foodstuffs such as bread and rice could actually increase. The panic engulfing many markets today could pose a threat to food security in places where food shelves are emptied in fear of possible shortages. Such developments could indeed give rise to supply interruptions and higher food prices at local level, but for now they are not seen to have any substantial impact on international markets.

World supply-demand outlook

- **Wheat** 2019 production estimate nearly unchanged m/m while the FAO-AMIS first production forecast for 2020 stands at 763 million tonnes, close to the 2019 near-record level*.
- Utilization in 2019/20 raised for a second consecutive month mostly on upward revisions in India and Japan, in line with higher than expected production, as well as in Canada on reduced export expectations.
- Trade in 2019/20 (July/June) lowered slightly but still pointing to a 3.2 percent rebound from 2018/19 fueled by stronger demand in Asia.
- Stocks (ending in 2020) raised, largely because of upward revisions in Iran corresponding to production adjustments of the country for recent years.

Wheat	FAO-AMIS 2018/19 est	FAO-AMIS 2019/20 f'cast 6 Feb	FAO-AMIS 2019/20 f'cast 5 Mar	USDA 2018/19 est	USDA 2019/20 f'cast 11 Feb	IGC 2018/19 est	IGC 2019/20 f'cast 27 Feb
Prod	732.4	763.4	763.1	731.5	764.0	733.0	763.2
	601.0	629.9	629.5	600.0	630.4	601.5	629.6
Supply	1,021.4	1,034.0	1,038.4	1,014.3	1,042.2	1,003.5	1,028.0
	778.4	781.2	785.6	752.7	768.9	757.9	774.2
Utiliz.	749.4	759.0	761.5	737.0	754.2	738.7	753.0
	623.0	631.3	633.7	612.0	626.2	611.2	623.6
Trade	168.2	174.0	173.7	175.4	183.3	168.4	176.2
	165.6	170.8	170.5	171.2	178.2	165.1	172.1
Stocks	275.3	274.6	277.2	278.3	288.0	264.8	274.9
	156.2	146.4	149.0	138.5	139.8	143.4	146.4

- **Maize**** 2019 production raised following upward revisions in several countries, including a number of non-AMIS South American countries.
- Utilization in 2019/20 seen to expand by almost 1 percent, exceeding earlier expectations mainly due to higher food use in Nigeria and stronger industrial demand in North America.
- Trade forecast for 2019/20 (July/June) lifted by 1.4 million tonnes on stronger demand and ample export availabilities.
- Stocks (ending 2020) raised slightly but still down 19 million tonnes (5.2 percent) from their opening level, with a 9 million tonne drop in China alone.

Maize	FAO-AMIS 2018/19 est	FAO-AMIS 2019/20 f'cast 6 Feb	FAO-AMIS 2019/20 f'cast 5 Mar	USDA 2018/19 est	USDA 2019/20 f'cast 11 Feb	IGC 2018/19 est	IGC 2019/20 f'cast 27 Feb
Prod	1,120.2	1,132.7	1,137.8	1,122.7	1,111.6	1,129.7	1,112.2
	863.0	871.9	877.0	865.4	850.8	872.4	851.4
Supply	1,488.9	1,493.1	1,498.6	1,464.0	1,432.1	1,469.0	1,434.9
	1,027.6	1,036.2	1,041.6	984.2	961.0	991.0	969.8
Utiliz.	1,140.4	1,146.0	1,150.4	1,143.5	1,135.2	1,146.3	1,151.0
	869.7	871.8	876.2	869.5	856.2	867.7	868.1
Trade	166.3	165.4	166.8	171.9	173.0	164.7	168.8
	161.8	162.4	163.8	167.4	165.9	159.7	163.8
Stocks	360.6	341.0	341.8	320.5	296.8	322.7	284.0
	164.6	155.7	155.6	110.2	97.8	118.3	96.7

- **Rice** production in 2019 unchanged m/m, as upgraded prospects for India and, to a lesser extent, the Democratic People's Republic of Korea offset a cut to Thailand's outlook.
- Utilization in 2019/20 trimmed, mostly reflecting lower anticipated non-food uses in Thailand.
- Trade in 2020 still expected to stage a 3.6 percent annual recovery, primarily on the back of stronger import demand in Africa.
- Stocks (2019/20 carry-outs) raised, as higher than previously anticipated public inventories in India outweigh a reduction for Thailand; as a result, global reserves are now seen marginally below their record opening level.

Rice	FAO-AMIS 2018/19 est	FAO-AMIS 2019/20 f'cast 6 Feb	FAO-AMIS 2019/20 f'cast 5 Mar	USDA 2018/19 est	USDA 2019/20 f'cast 11 Feb	IGC 2018/19 est	IGC 2019/20 f'cast 27 Feb
Prod	514.7	512.1	512.2	499.2	496.2	499.9	499.4
	369.4	368.6	368.6	350.7	349.5	351.4	352.7
Supply	690.4	695.6	695.2	661.8	671.2	662.6	671.9
	440.0	446.7	446.2	404.3	409.5	410.9	417.5
Utiliz.	509.2	515.7	514.4	486.8	493.1	490.1	495.0
	363.0	369.4	368.1	344.0	350.2	347.0	351.8
Trade	44.2	45.9	45.8	43.8	45.3	42.5	44.2
	41.1	43.1	43.0	38.5	39.6	39.8	40.8
Stocks	183.0	181.2	182.2	175.0	178.1	172.5	176.9
	77.6	78.5	79.5	60.0	60.1	61.4	63.3

- **Soybean** 2019/20 production forecast raised on better than expected harvest prospects in Brazil and Argentina and upward corrections for India's recently gathered crop – while the y/y contraction remains around 5 percent.
- Utilization in 2019/20 adjusted upward, reflecting a stronger than earlier anticipated recovery in China's hog industry and higher crush forecasts for Argentina, Brazil and India.
- Trade forecast for 2019/20 lifted primarily on account of increased import demand by China, while higher shipments are anticipated from the US and Brazil.
- Stocks (19/20 carry-out) lowered sizeably on reduced carry-out forecasts for the US, hence accentuating the projected y/y contraction in global inventories.

Soybeans	FAO-AMIS 2018/19 est	FAO-AMIS 2019/20 f'cast 6 Feb	FAO-AMIS 2019/20 f'cast 5 Mar	USDA 2018/19 est	USDA 2019/20 f'cast 11 Feb	IGC 2018/19 est	IGC 2019/20 f'cast 27 Feb
Prod	364.2	342.3	345.4	358.7	339.4	362.0	345.4
	348.2	324.2	327.3	342.7	321.3	346.0	327.3
Supply	413.2	400.7	403.8	457.7	450.6	406.9	399.6
	383.7	371.6	374.7	418.7	413.1	285.7	274.6
Utiliz.	353.2	356.8	360.6	343.6	351.1	352.7	360.3
	252.2	253.0	255.3	241.6	247.4	249.8	255.1
Trade	150.4	150.0	152.1	148.3	151.5	151.6	152.6
	67.9	62.9	63.6	62.9	62.8	64.7	63.7
Stocks	58.4	45.4	44.6	111.2	98.9	54.2	39.3
	47.4	33.2	32.4	91.8	77.1	36.1	19.6

Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.
To review and compare data, by country and commodity, across three main sources, go to https://app.amis-outlook.org/#/market-database/view-and-compare
Estimates and forecasts may differ across sources for many reasons, including different methodologies.
** For more details see the March issue of FAO Crop Prospects and Food Situation at http://www.fao.org/giews/reports/crop-prospects/*
*** The 2019/20 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2019 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2020 in their 2019/20 world production numbers.*
For more information see Explanatory notes on the last page of this report.

Summary of revisions (FAO-AMIS) since the previous report

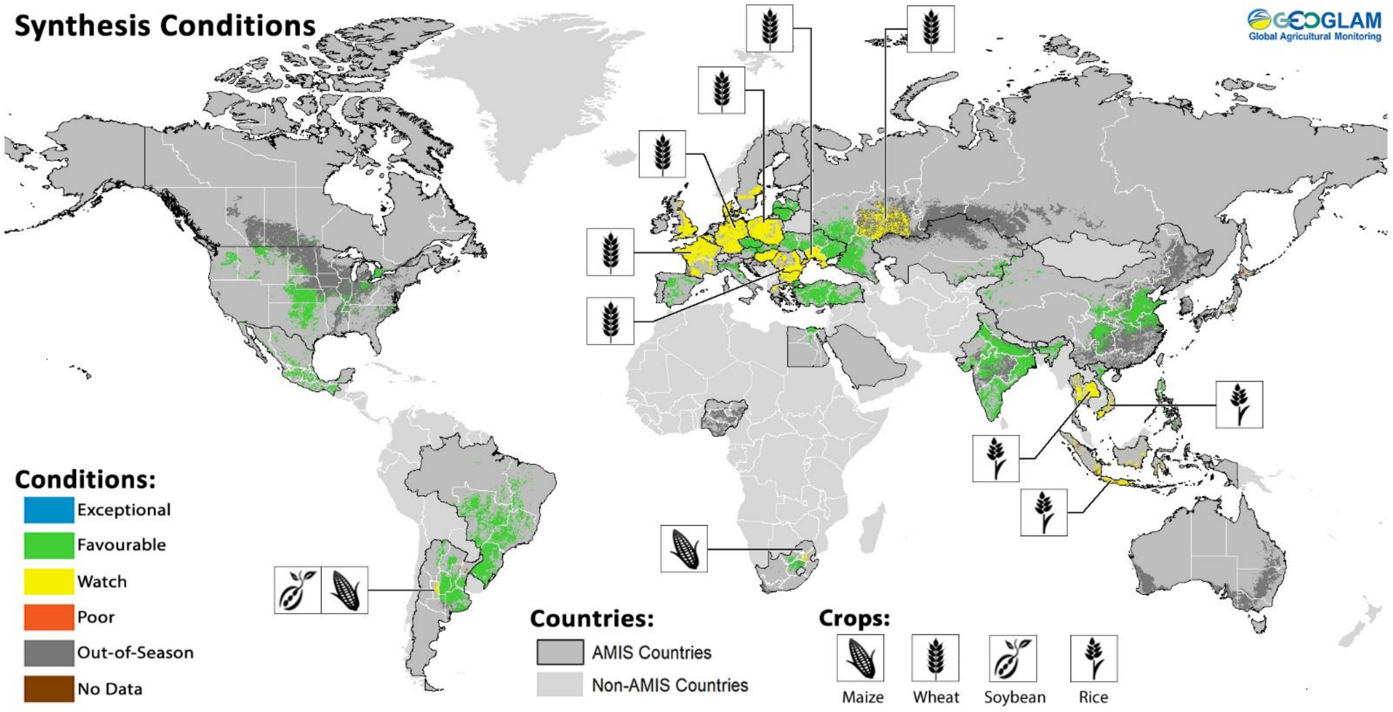
in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-389***	***-339***	***2424***	***-333***	***2637***	***5124***	***1402***	***4386***	***1394***	***837***
Total AMIS	***461***	***-370***	***1721***	***320***	***-934***	***1881***	***1200***	***1971***	***300***	***1155***
Argentina	-	-	-	-300	-	-	-	-1000	200	-
Australia	-687	-	-697	-	-	-	-	-	-	-
Brazil	-	-	-50	-	50	-	300	100	500	-
Canada	-	-	874	-600	50	-	600	900	-650	-
China Mainland	-	-	-	-	11	-	-	-	-	1000
Egypt	-	-	-	-	121	-	-	-	-	-
EU	75	-	75	-	-	-54	-	-54	-	-
India	1410	-	1260	200	-	-320	200	-400	-250	1007
Indonesia	-	-250	-	-	-	-	-	-	-	-
Japan	260	-120	260	-	-	-	-	-	-	-
Kazakhstan	-48	-500	-	-	-548	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	1700	-	1700	-	-
Philippines	-	-	-	-	-	300	-	148	-	100
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-	-71	-	-71	-	-
Saudi Arabia	-	-	-	-	111	-	-	-	-	-
South Africa	-	-	-	20	-	-	-	-100	-	100
Thailand	-	-	-	-	-	-358	100	-358	-	100
Turkey	-	500	-	-	500	-	-	-	-	-
Ukraine	-549	-	-	-	-549	848	-	-	2000	-1152
US	-	-	-1	1000	-680	-	-	1270	-1500	-
Viet Nam	-	-	-	-	-	-163	-	-163	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***70***	***-99***	***-1270***	***-131***	***1010***	***3125***	***2050***	***3745***	***2050***	***-810***
Total AMIS	***-414***	***73***	***-1421***	***-131***	***913***	***2925***	***2050***	***3685***	***2300***	***-820***
Argentina	-	3	-11	-50	-	500	300	400	300	200
Australia	-	45	-20	29	-10	-	-	-	-	-
Brazil	-6	-	-86	-	-71	1300	-50	600	1200	-
Canada	-	-	-	-	-	-	-	200	-100	-100
China Mainland	-	-	-	-	-	-	1400	1400	-	-
Egypt	-	-	-	-	-	-	-	-	-	-
EU	19	-10	-109	-10	-	-	-	-	-	-
India	1730	-	30	-	2100	1200	-	930	-	300
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-70	200	30	-	50
Nigeria	-	-	-40	-	-100	-	-	15	-	-
Philippines	-	-	-	-	-	-	-	5	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-38	25	-8	-50	20	-	-	-	-	-
Saudi Arabia	-	-60	40	-	80	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-2118	-	-1218	-100	-1150	-	100	100	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	-	-	-	-	-
US	-	70	1	50	44	-	-	10	900	-1370
Viet Nam	-	-	-	-	-	-5	100	-5	-	100

Crop monitor

Crop conditions in AMIS countries (as of 28 February)



Crop condition map synthesizing information for all four AMIS crops as of 28 February. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.***

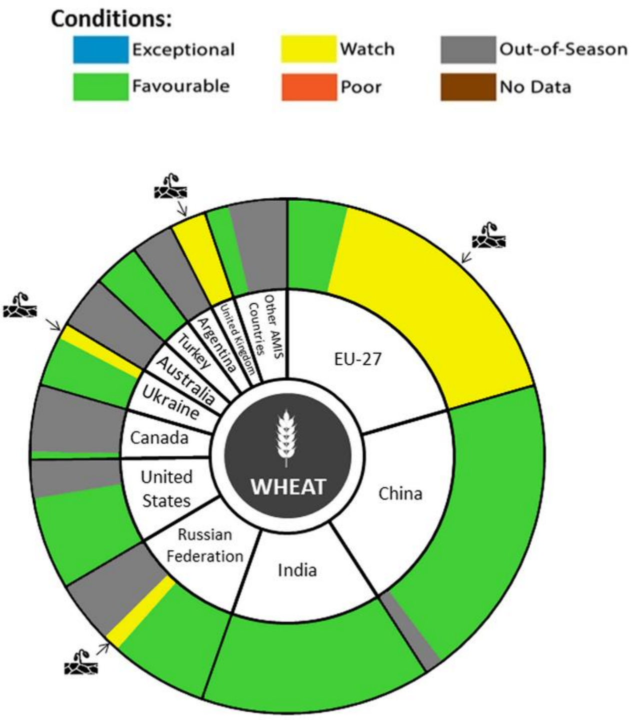
Conditions at a glance

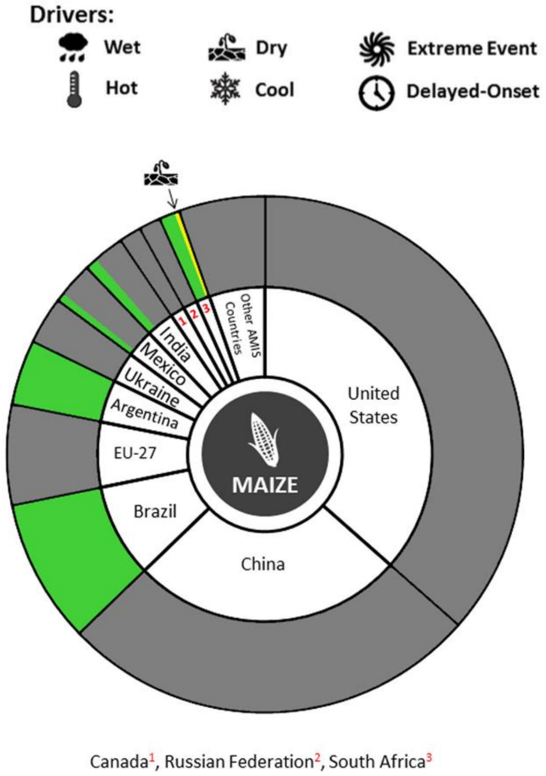
Wheat - In the northern hemisphere, dry conditions over winter wheat areas in parts of Europe, the Russian Federation, and Ukraine remain a concern. In North America, conditions remain favourable while in India, conditions are very good.
Maize - In the southern hemisphere, conditions are favourable for Brazil and Argentina. In the northern hemisphere, conditions are favourable for the Rabi crop in India and the autumn-winter crop in Mexico.

Rice – In India, conditions are very good for Rabi rice. In Southeast Asia, dry conditions continue to be a problem for dry-season rice across Thailand and southern Viet Nam along with wet-season rice in Indonesia.
Soybeans - In the southern hemisphere, conditions are generally favourable for Argentina and favourable as harvest begins in Brazil.

Neutral ENSO

El Niño-Southern Oscillation (ENSO) conditions are neutral and are most likely to remain neutral through June 2020.





Wheat

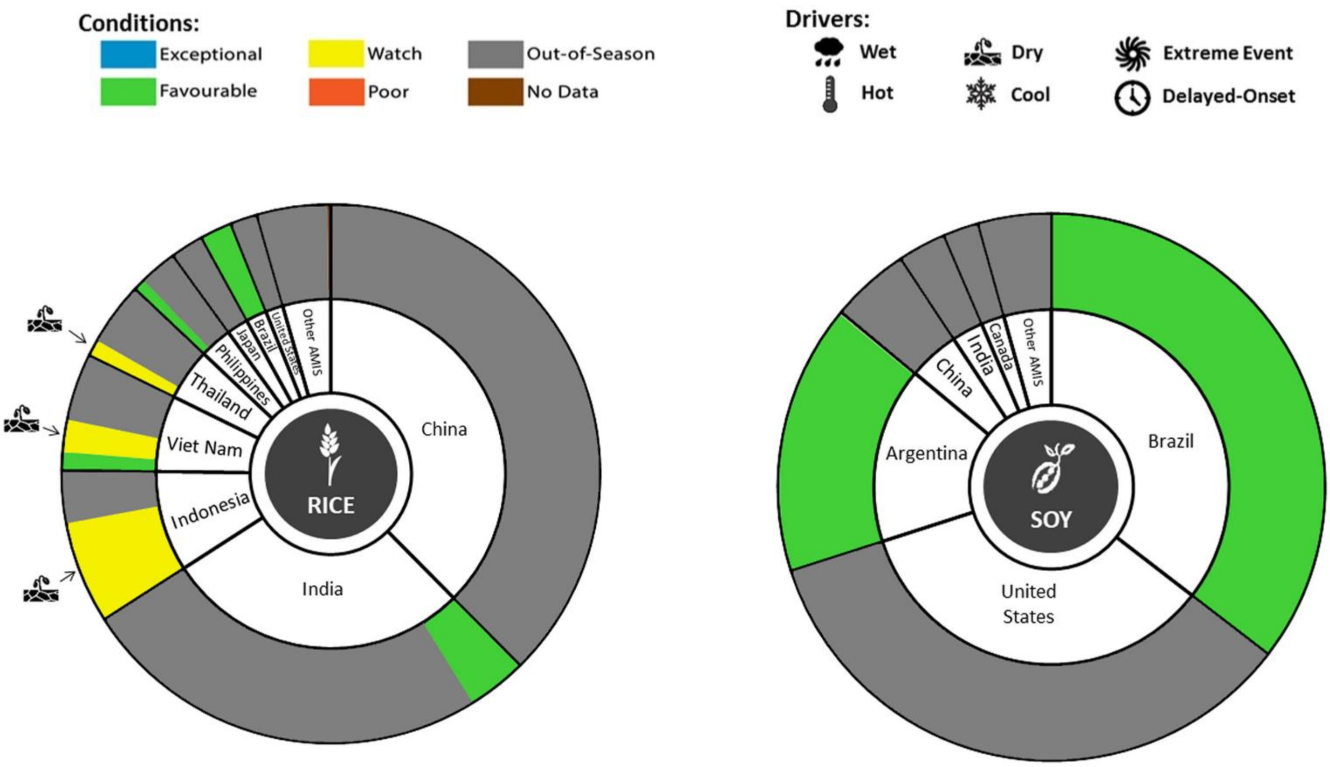
In the **EU**, winter wheat conditions are under watch as a large part of Europe is experiencing a lack of winter hardening, leaving the crops vulnerable to frost damage. Total sown area is notably reduced in France this year compared to average. In the **United Kingdom**, conditions are under watch due to a lack of winter hardening. In **Turkey**, conditions are favourable with most of the crop adequately hardened for the winter. In **Ukraine**, winter wheat conditions are generally favourable, with watch conditions continuing in the south due to low soil moisture levels. In the **Russian Federation**, conditions are generally favourable with the exception of some dry areas. In **Kazakhstan**, winter wheat conditions remain favourable with some minor areas renewing growth. In **China,** conditions are favourable for winter wheat thanks in part to above-average autumn temperatures advancing growth before entering winter dormancy. In **India**, conditions are very good for winter wheat with a noticeable increase in total sown area compared to last year and increased yields expected. In the **US**, winter wheat is under generally favourable conditions. In **Canada**, winter wheat is in dormancy under generally favourable conditions. Below-average snowpack in the Prairies is increasing the risk of winterkill.

Maize

In **Brazil**, the spring-planted (smaller season) crop is under generally favourable conditions across the country. Dry conditions earlier in the season reduced yields in Rio Grande do Sul, however those have been counterbalanced by favourable yields in Parana and Santa Catarina. Sowing of the summer-planted (larger season) crop is ongoing in the main producing regions under favourable conditions. In **Argentina**, conditions have improved for both the spring-planted and summer-planted crops due to good rainfall over the past few weeks. However, there is some concern for soil moisture deficits affecting the summer-planted crop in San Luis. In **Mexico**, conditions are favourable for the autumn-winter crop with an increase in total sown area compared with last year. In **India**, sowing of the Rabi crop is almost complete under favourable conditions with total sown area close to average. In **South Africa**, conditions are generally favourable, but dry conditions in the east may negatively impact yields.

Pie chart description: *Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).*

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.



Rice

In **India**, conditions are very good as transplanting of Rabi rice continues in the eastern parts of the country with an increase in total sown area compared to average. In **Indonesia**, an increase in rainfall is supporting the expansion of wet-season rice sowing. However, harvesting of earlier sown crops is continuing under watch conditions due to the prolonged drought reducing yields compared to last year. In **Viet Nam**, sowing of dry-season rice (winter-spring rice) is beginning in the north under favourable conditions with an expected increase in total sown compared to last year, owing to warm weather and better irrigation preparation. In the south, conditions remain under watch with damaging saltwater intrusion continuing as harvest begins in some provinces. In **Thailand**, dry-season rice conditions remain under watch due to the continued shortage of available water for irrigation, and some pest outbreaks in the northern region. Total sown area is decreased compared to last year due to dry conditions. In the **Philippines**, conditions are generally favourable for dry-season rice despite minimal rainfall received over the past month. In **Brazil**, conditions are favourable.

Soybeans

In **Brazil**, harvest is ongoing under favourable conditions. Irregular rains earlier in the season impacted crops particularly in Rio Grande do Sul, however yields from Parana and Santa Catarina are helping to maintain average overall yields in the South region. Early yields from the Central-West region are above average. In **Argentina**, conditions continue to improve for both spring-planted and summer-planted crops due to rainfall over the past few weeks. However, there is some concern for summer-planted crops in San Luis due to soil moisture deficits.

Information on crop conditions in non-AMIS countries can be found in the GEOGLAM Early Warning Crop Monitor, published 5 March 2020

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.
More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 8 February, the Ministry of Trade and Industry in **Egypt** extended moisture limit specifications of 13.5 percent in wheat imports until April 2021.

Maize

- On 6 February, **Thailand** notified the WTO of phytosanitary certification requirements applicable on maize seed imports that includes inspection information of seeds and parent plants being free of the listed quarantine pests. In addition, it requires inspections to ensure that the fields are free of Striga spp and the seeds must be non-genetically modified (G/SPS/N/THA/289).

Rice

- On 28 February **China** increased the Minimum Purchasing Price (MPP) for early indica rice (from CNY 2 400 per tonne to CNY 2420 per tonne) and for late indica rice (from CNY 2 520 per tonne to CNY 2540 per tonne). This is the first increase to the country's rice MPP since 2014. On the same day, the National Food and Strategic Reserves Administration set a limit on annual procurement of rice at MPP of 50 million tonnes (20 million tonnes for indica rice and 30 million tonnes for japonica rice).

Across the board

- On 26 February, **Argentina**'s Ministry of Agriculture suspended the registration of agricultural exports, until further notice (Resolution N. 2019-128-APN-MAGYP).
- On 7 February 2020, under the Guarantee-Safra programme, the Ministry of Agriculture in **Brazil** announced crop insurance worth BRL 8.3 million (USD 185 000) for more than 9 000 family farmers in the North-eastern states to mitigate prevailing drought conditions (Ordinance No.7). If crop losses exceed 50 percent, BRL 850 (USD 189.5) will be allocated to producers in five instalments.
- On 6 February, the Ministry of Commerce in **China** reduced the additional tariffs applied on imports of certain commodities from the US from, respectively, 10 to 5 percent or 5 to 2.5 percent effective from 14 February 2020 (see also AMIS Market Monitor – September 2019). Furthermore, on 18 February, a new round of tariff exemptions was granted for 696 additional US products, including soybeans and other agricultural commodities.
- In February, the **Egyptian** government reintroduced the mandatory inspection of grain imports at port-of-loading by the Central Plant Quarantine Authority (CAPQ) under the Ministry of Agriculture and Land Reclamation Decree No. 562/2019. Pre-shipment inspections had been eliminated by Prime Ministerial Decree No. 2992/2016 (1 January 2017).
- On 12 February, the **European Commission** lowered the maximum residue limit (MRL) for the active substance "Prochloraz" on some agricultural products to 0.3 parts per millimeter (Regulation 2020/192). The new MRL will be applied to crops grown and harvested after 4 September 2020.
- On 1 February, **India** announced the Union budget for 2020/21 allocating about INR 2 lakh crore (USD 30.76 billion) to domestic support to agriculture.
- On 7 February, the Ministry of Agriculture in **India** announced revised criteria of determining market price support for wheat and rice.
- On 25 February, **Spain** reformed the Food Chain Law (Royal Decree-Law 5/2020) to address dwindling agricultural profitability and unfair pricing. With immediate effect, contracts between farmers and supply chain stakeholders shall take account of production costs. Fines of up to 1 million Euros shall be applied and be publicly disclosed if agricultural products are found to be sold below cost. The overseeing role of the Food Inspection and Control Agency will also be strengthened.
- On 6 February, the Istanbul Industrial and Free Trade Zone Directorate of **Turkey** banned imports of several Chinese animal and agricultural products in its fight against the spread of the coronavirus outbreak. The categories of products that restricted from entry are: all animals, animal products and byproducts, vegetable products, prepared foodstuffs, beverages, spirits and vinegar as well as tobacco.

Stop Press

- On 21 January, the government of **India** lowered the reserve prices of rice and wheat that are sold under the Open Market Sale Scheme (OMSS) to clear the reserves for new crops. The reserve prices that had been announced in April 2019 for the period January-March 2020 are reduced from INR 2 785 to INR 2 250 per quintal (USD 385 to 312 per tonne) for rice, and from INR 2 245 to INR 2 135 per quintal (USD 311 to 296 per tonne) for fair average quality wheat and to INR 2 080 per quintal (USD 288 per tonne) for lower quality wheat.
- On 23 January, the **Republic of Korea** announced its country specific tariff rate quotas (TRQ) for 2020 for rice. The total TRQ amounts to 388 700 tonnes and the government will purchase 50 percent of this amount. The TRQ is distributed between China (157 195 tonnes), US (132 304 tonnes), Viet Nam (55112 tonnes), Thailand (28 494 tonnes) and Australia (15 595 tonnes).

AMIS Policy database

Visit the AMIS Policy database at: *https://app.amis-outlook.org/#/policy-database*

*The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.*

*Only AMIS participants are marked in **bold**.*

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Feb 2020 Average*	% Change	
		M/M	Y/Y
GOI	193	- 2.3 %	- 0.5 %
Wheat	191	- 1.9 %	- 2.0 %
Maize	187	- 1.3 %	- 0.0 %
Rice	170	+ 1.7 %	+ 6.6 %
Soybeans	176	- 3.8 %	- 0.7 %

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices declined, partly because of worries about the impact of coronavirus on global economic conditions. Good export demand and tightening old-crop availabilities in some exporters provided underlying support. While few threats were foreseen to a well-supplied market in the coming year, less than ideal conditions for 2020/21 crops were noted in parts of the northern hemisphere. Prices in the EU continued to be buoyed by solid exports, including reports of more sales to China. Australia was also thought to have secured more business to China, but Australian prices were weighed by beneficial rains ahead of new crop planting. Values in Argentina continued to move higher as the export surplus dwindled after heavy early-season sales. Export prices in the Russian Federation retreated on declines elsewhere, slackening nearby export demand and rising expectations for the next harvest.

Maize

The IGC maize sub-Index posted its first net decline in five months in February, dropping by an average of 1 percent on a comfortable supply outlook and mounting fears about how the coronavirus might affect world demand for commodities. Following steep gains in the prior month, prices in Argentina were pressured by movements in currency markets and the start of the next harvest, with another large crop widely expected. Despite some initial underpinning from a pickup in export demand, US values also began to weaken in the second half of the month, reacting partly to background economic concerns and bearish supply projections for 2020/21. FOB quotations in Ukraine turned lower in recent weeks, as traders looked to maintain competitiveness with South American origins.

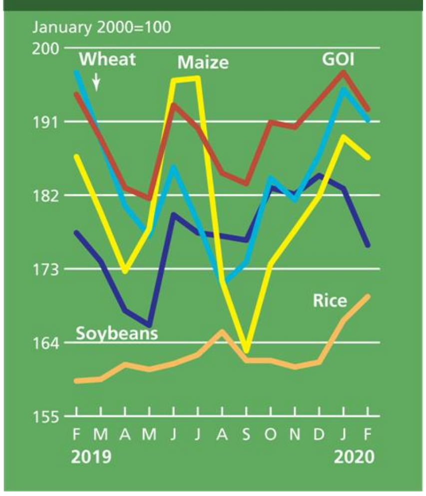
Rice

Rice prices were largely firmer m/m, led by gains in Viet Nam where availabilities tightened ahead of the main crop harvest and amid an uptick in regional purchasing. Thai offers were broadly steady as a weaker currency was offset by concerns that drought would curtail off-season production, while an uptick in demand from East Africa underpinned quotes in Pakistan and strong government procurement supported in India. In the US, white rice values increased as supplies in the South decreased following a reduced 2019/20 crop and a solid export pace.

Soybeans

Reflecting declines at all major origins during February, the IGC GOI soybeans sub-Index retreated by 4 percent m/m. While the backdrop of slow buying interest and prospects for heavy South American supplies continued to pressure throughout the month, markets also succumbed to broad-based weakness in external markets, tied to escalating worries about the spread of coronavirus. Despite initial support from firm international demand – as evidenced by lengthening shipping line-ups at key ports – Brazilian export values were weighed by the advancing 2019/20 harvest, with currency movements also influential. Amid few significant developments, Up River values in Argentina eased in line with other origins.

IGC Commodity Price Indices



IGC commodity price indices

		GOI	Wheat	Maize	Rice	Soybeans
		(………January 2000 = 100				………)
2019	February	**194.3**	197.0	186.7	159.3	177.4
	March	**188.9**	188.7	179.9	159.5	173.9
	April	**182.9**	180.7	172.7	161.3	167.9
	May	**181.6**	177.0	177.9	160.7	166.1
	June	**193.0**	185.4	196.0	161.4	179.7
	July	**190.2**	178.7	196.3	162.5	177.4
	August	**184.7**	171.1	171.5	165.3	177.0
	September	**183.4**	173.8	163.0	161.8	176.5
	October	**190.9**	184.1	173.6	161.8	182.9
	November	**190.3**	181.4	177.7	161.0	182.1
	December	**193.6**	186.9	181.9	161.6	184.4
2020	January	**197.0**	194.9	189.1	166.7	182.8
	February	**192.5**	191.2	186.6	169.6	175.9

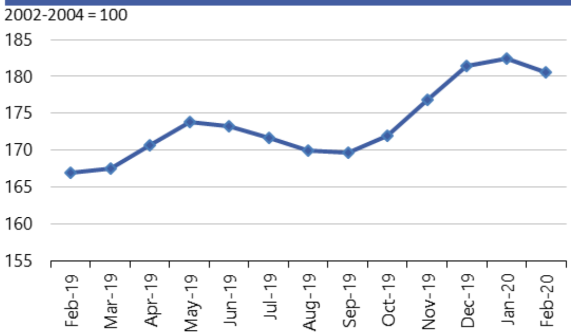
Selected export prices, currencies and indices

Daily quotations of selected export prices	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
		USD/tonne				
Wheat (US No. 2, HRW)	28-Feb	222	236	223	-5.9%	-0.4%
Maize (US No. 2, Yellow)	28-Feb	163	173	167	-5.7%	-2.1%
Rice (Thai 100% B)	28-Feb	440	445	390	-1.1%	12.8%
Soybeans (US No.2, Yellow)	28-Feb	349	352	355	-0.9%	-1.7%

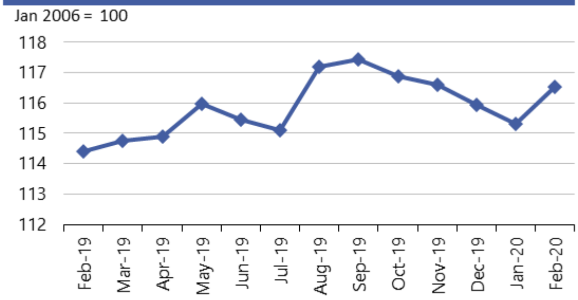
AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Feb 2020 Average	Monthly Change	Annual Change
Argentina	**ARS**	61.3	-2.2%	-59.7%
Australia	**AUD**	1.5	-2.9%	-7.1%
Brazil	**BRL**	4.4	-4.9%	-16.8%
Canada	**CAD**	1.3	-1.6%	-0.6%
China	**CNY**	7.0	-1.1%	-3.8%
Egypt	**EGP**	15.6	1.4%	10.8%
EU	**EUR**	0.9	-1.8%	-4.1%
India	**INR**	71.5	-0.4%	-0.5%
Indonesia	**IDR**	13,761.5	-0.3%	1.9%
Japan	**JPY**	110.0	-0.7%	0.4%
Kazakhstan	**KZT**	378.0	0.3%	-0.2%
Rep. Korea	**KRW**	1,194.3	-2.4%	-6.5%
Mexico	**MXN**	18.8	-0.2%	1.9%
Nigeria	**NGN**	306.0	0.0%	0.0%
Philippines	**PHP**	50.8	0.1%	2.6%
Russian Fed.	**RUB**	64.1	-3.6%	2.5%
Saudi Arabia	**SAR**	3.8	0.0%	0.0%
South Africa	**ZAR**	15.0	-4.4%	-8.7%
Thailand	**THB**	31.3	-2.9%	-0.1%
Turkey	**TRY**	6.1	-2.4%	-15.0%
UK	**GBP**	0.8	-1.0%	-0.4%
Ukraine	**UAH**	24.5	-1.5%	9.4%
Viet Nam	**VND**	23,239.5	-0.3%	-0.2%

FAO Food Price Index
Feb 2019- Feb 2020



Nominal Broad Dollar Index
Feb 2019-Feb 2020



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Feb-20 Average	% Change M/M	% Change Y/Y
Wheat	202	-2.8%	10.0%
Maize	149	-2.1%	1.0%
Rice	297	1.5%	30.6%
Soybeans	325	-3.4%	-2.7%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Feb-20	Jan-20	Feb-19
Wheat	16.7	15.6	16.7
Maize	19.4	19.4	13.6
Rice	13.9	13.3	13.8
Soybeans	10.0	10.9	12.5

Futures Prices

Prices for wheat, maize, and soybeans fell slightly m/m as sales to China covered under the Phase One trade pact with the US involving agricultural goods were slow to materialize and the spread of the COVID-19 virus posed unknown disruptions to shipping. Wheat and maize prices declined 2.1 and 1.5 percent respectively, while both remained above the crop year lows recorded in September 2019. Soybean prices declined 3.4 percent as China, despite its easing of tariffs on hundreds of US goods including soybeans, continued to favour Brazilian origins. Argentina's announcement of closing export registrations failed to boost US soybean values. Rice prices, which have increased steadily for twelve months, rose 1.5 percent m/m on supply concerns. Exogenous markets appeared roiled at month-end coronavirus treat intensified. Although global equity markets and crude oil prices experienced significant drops, the effects on the cereal and oilseed markets were fairly muted. Prices were higher y/y by varying degrees at 10, 1.0, and 30.6 percent respectively for wheat, maize and rice, while 2.7 percent lower for soybeans.

Volumes and volatility

Trade volumes were higher m/m for wheat, maize and soybeans, reflecting seasonal patterns. Historical and implied volatility showed small mixed changes m/m for the three commodities, with levels clustering in a range for both measures between 10 and 22, indicating limited price variability.

Basis levels and transport

Domestic basis levels strengthened slightly m/m for maize and soybeans. In Illinois, average quotes to local elevators were minus USD 1 per tonne for maize, and minus USD 4 per tonne for soybeans, each under the respective March futures prices. In Iowa, maize and soybean bids were minus USD 6 and minus USD 19 respectively (under the respective futures). In soft red wheat, bids for delivery to northern flour mills remained very firm, quoted as premiums to March futures. Maize bids delivered to gulf were lower m/m at USD 20, soybean bids were steady at USD 19, while soft red wheat quotes dipped from USD 44 to USD 40 (per tonne premium over respective March futures). Barge freight for the Lower Illinois River declined m/m to around USD 15 per tonne, dropping to a two-year low. In export markets, the USDA reported total shipped 2019/20 export commitments for wheat (all wheat classes) and soybeans were 33 and 54 percent higher respectively y/y (crop year basis), while for maize, total shipped commitments were significantly lower, lagging 38 percent below levels reported y/y.

Forward curves

Forward curves for maize and soybeans were little changed m/m as continued doubts about the potential pick-up in Chinese demand offset high basis levels. Wheat curves continued to display a narrow inverse (downward sloping) configuration m/m responding to persistently high basis levels close to the delivery market area. Unseasonably high cash levels in all three commodities precluded deliveries on the March futures contracts, despite a clouded picture for global demand*.

Investment flows

Managed money maintained its net long position for the fourth consecutive month in wheat, its most extended continuous net long position since 2012. Managed money reduced its soybeans net long and added to its net short in maize. Similar to last month, commercials maintained net short positions while swaps dealers maintained net long positions in all three commodities.

AMIS Market indicators

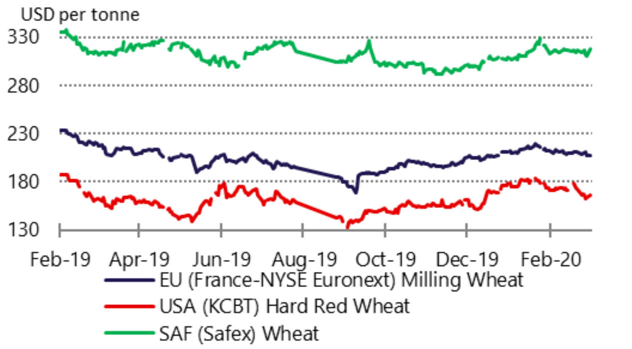
Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: http://www.amis-outlook.org/amis-monitoring/indicators/

**For more information about Forward Curves see the feature article in No. 75 February AMIS Market Monitor 2020.*

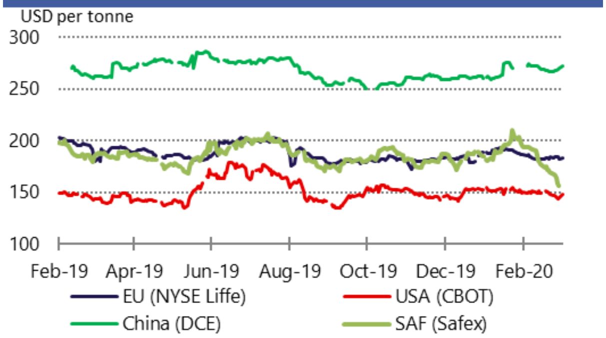
Market indicators

Daily quotations from leading exchanges - nearby futures

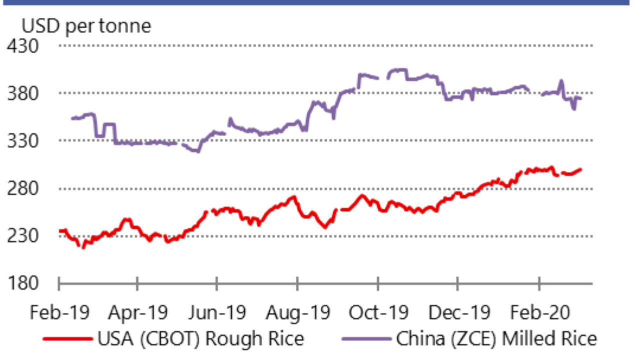
Wheat



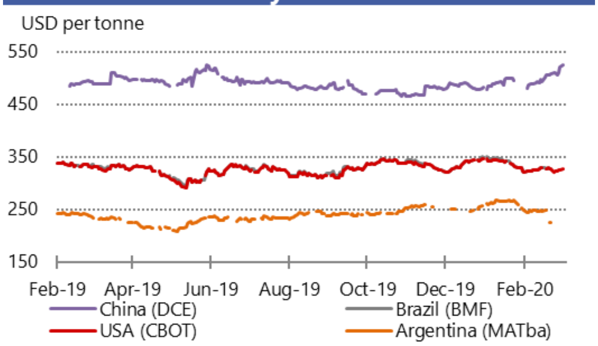
Maize



Rice

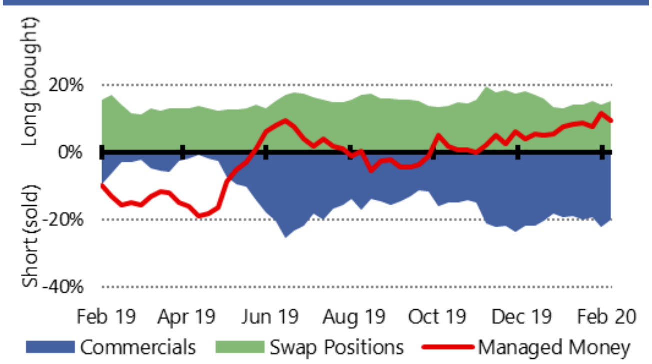


Soybeans

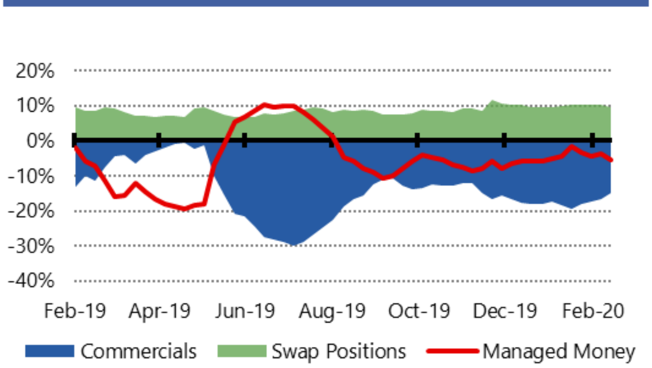


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

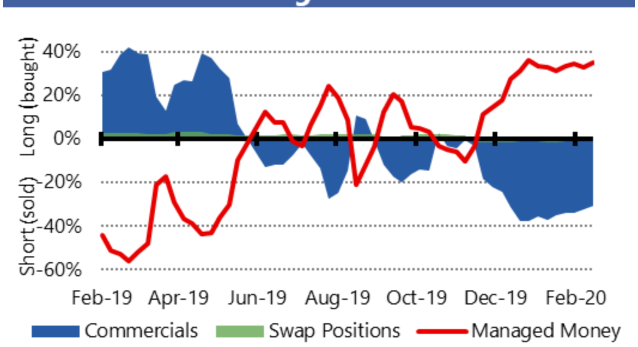
Wheat



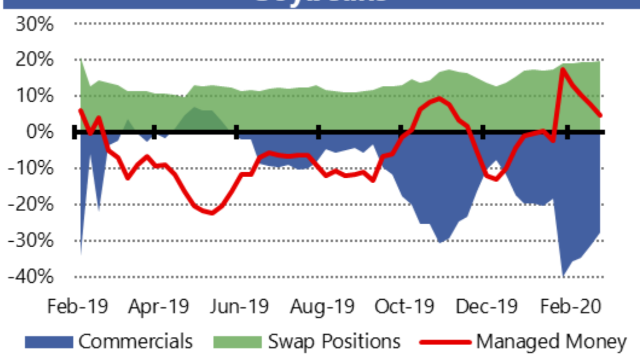
Maize



Rough Rice

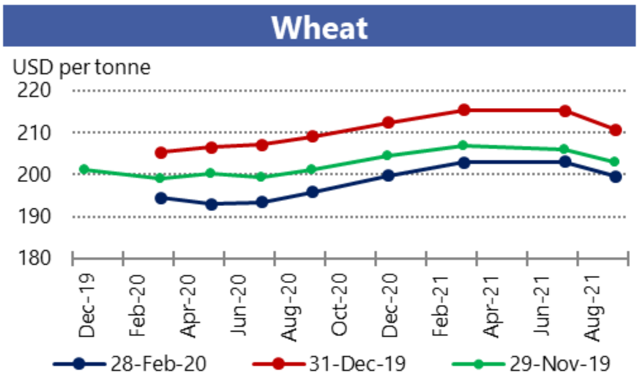


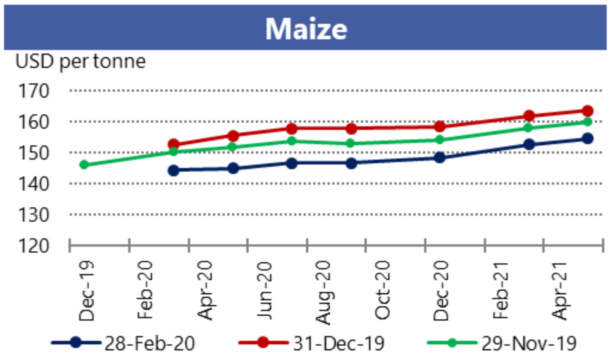
Soybeans

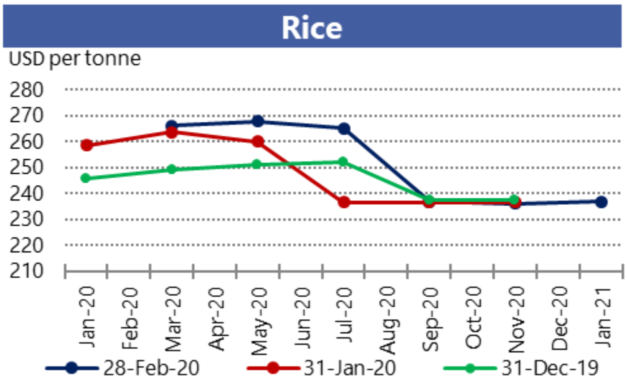


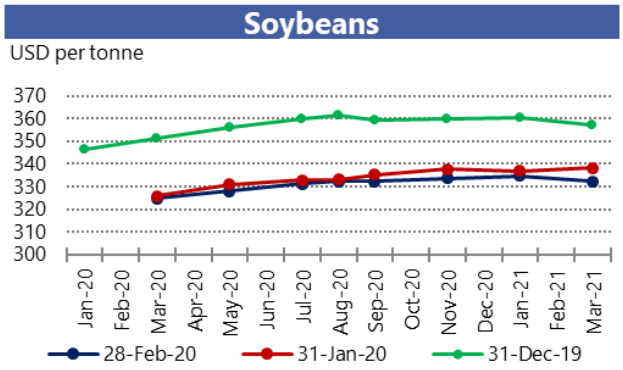
Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves

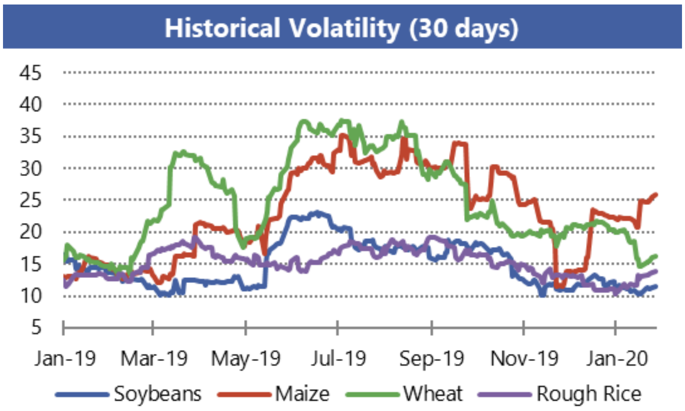


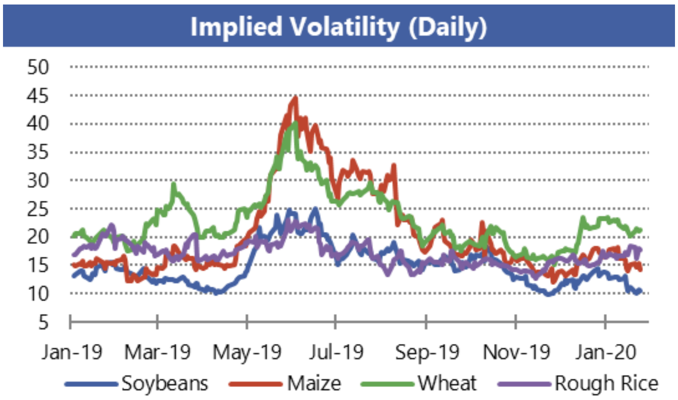






Historical and Implied Volatilities





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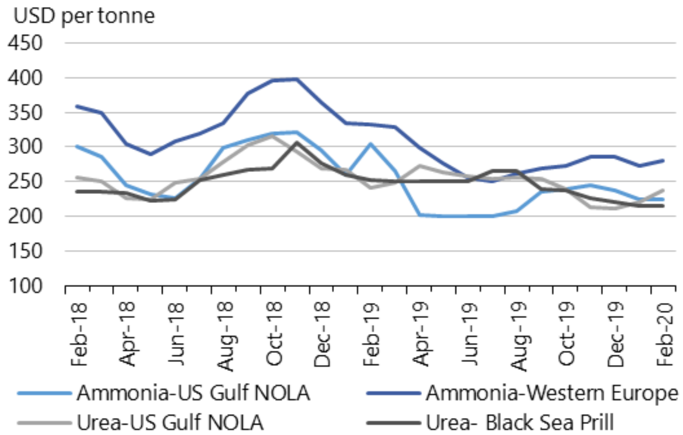
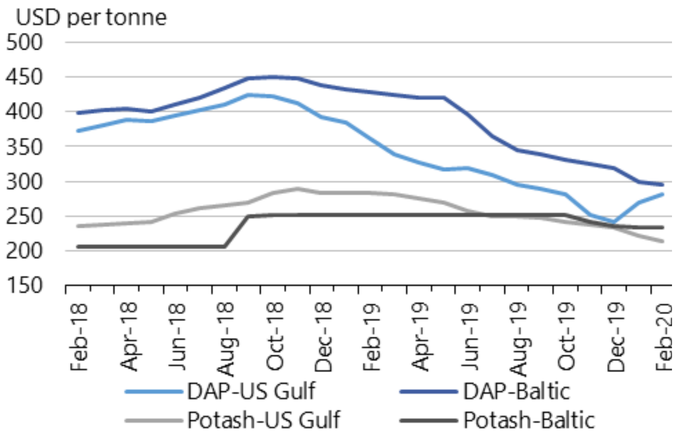
Fertilizer outlook

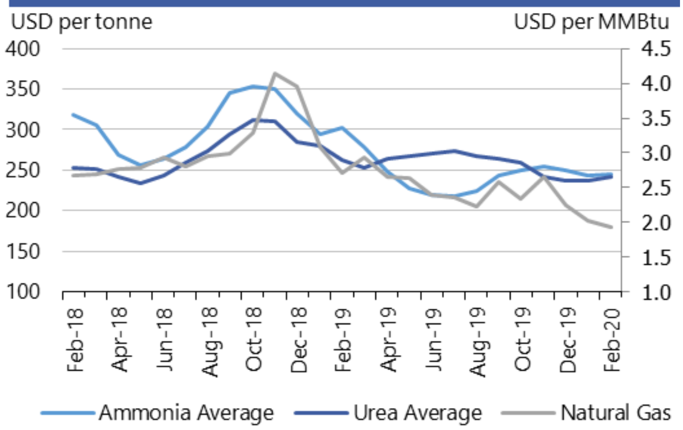
Ammonia and Urea Major World Markets (Spot prices)



Potash and Phosphate Major World Markets (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



Note: Natural gas is used as major input to produce nitrogen-based fertilizers. Own elaboration based on Bloomberg.

- **Natural gas prices** continued to put downward pressure on fertilizer quotes, due to lower coal prices and warmer than expected temperatures in the Northern Hemisphere.
- **Urea** and **DAP** prices in the Black Sea and Western Europe markets continued their downward trend since 2019. However, urea and DAP prices in the US Gulf continued their uptick since the beginning of the year, as demand increased with the early start of the application period in the US.
- **Ammonia prices** mildly recovered, especially in Western Europe, due to supply shortages in the region combined with an increased global demand.
- **Potash prices** decreased in the US despite production slowdown in the Northern Hemisphere and the start of the application rate.

	February average	February std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	225.0	-	0.0%	-26.2%	265	200
Ammonia-Western Europe	280.0	-	2.4%	-15.8%	328	250
Urea-US Gulf	237.3	6.8	7.2%	-1.6%	273.0	212.0
Urea-Black Sea	215.0	5.0	-0.5%	-14.9%	265.8	215.0
DAP-US Gulf	281.7	1.5	4.3%	-21.8%	339.4	241
DAP-Baltic	295.0	-	-1.7%	-31.2%	425	295
Potash-Baltic	234.0	-	0.0%	-7.1%	252.0	234
Potash- US Gulf NOLA	213.0	1.7	-3.4%	-25.0%	281.6	213
Ammonia	245.8	-	0.7%	-18.9%	279.0	218.4
Urea	241.3	3.2	1.6%	-8.0%	274.2	237
Natural Gas	1.9	0.1	-5.1%	-29.1%	2.9	1.9

All prices shown are in US dollars.
Source: Own elaboration based on Bloomberg

Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US GUlf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers
DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

	February-20 average	Change m/m	y/y
Baltic Dry Index (BDI)*	**456.7**	**-34.9%**	**-27.4%**
sub-Indices:			
Capesize	*-238.6*	*n/a*	*n/a*
Panamax	*662.8*	*-14.7%*	*+5.2%*
Supramax	*508.6*	*-11.0%*	*-9.2%*
Baltic Handysize Index (BHSI)**	*304.6*	*-21.7%*	*-6.5%*

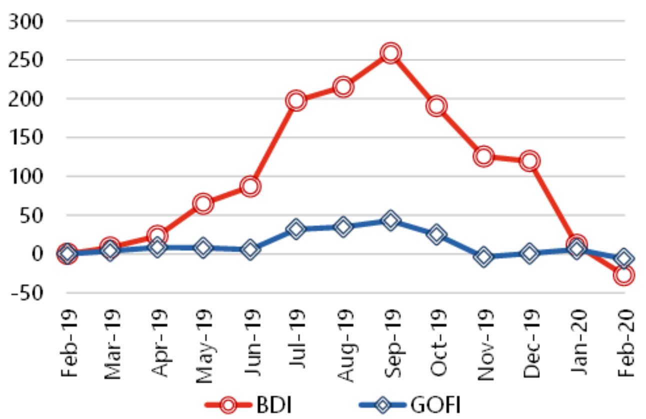
Sources: Baltic Exchange, IGC.

*4 January 1985 = 1000. **23 May 2006 = 1000.

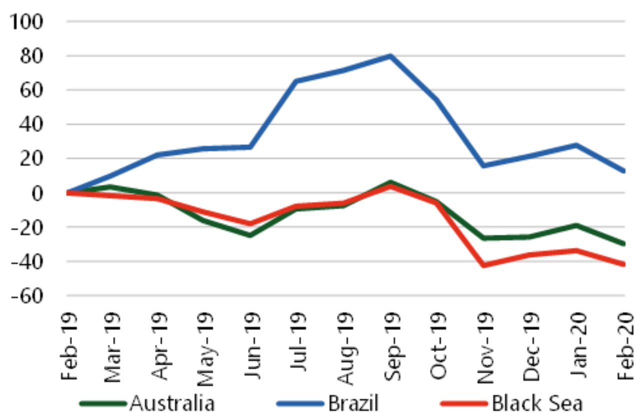
***1 January 2013 = 100.

	February-20 average	Change m/m	y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	**101.0**	**-11.4%**	**-6.2%**
sub-Indices:			
Argentina	*126.0*	*-8.5%*	*-10.8%*
Australia	*62.2*	*-13.3%*	*-29.8%*
Brazil	*127.8*	*-11.8%*	*+12.8%*
Black Sea	*106.7*	*-12.0%*	*-41.8%*
Canada	*85.9*	*-10.3%*	*-25.6%*
Europe	*87.4*	*-9.0%*	*-26.9%*
US	*86.5*	*-11.1%*	*-8.6%*

BDI and IGC GOFI*



Selected IGC GOFI sub-Indices*



*percentage change based on monthly average values

- The dry bulk freight market exhibited two-sided trends in February. Values initially dropped on seasonal factors, including Lunar New Year holidays in Asia, coupled with fears about COVID-19. Rates rebounded thereafter as activity showed signs of recovery, despite a generally depressed macroeconomic backdrop. Average **Baltic Dry Index (BDI)** values declined by about one-third m/m, to the lowest in about three years.
- Reduced inquiry levels in the Atlantic and overcapacity in the Pacific exerted severe pressure on **Capesize** earnings as the corresponding Baltic sub-Index turned negative for the first time.
- **Panamax** values were 15 percent lower on average. Early losses were later reversed on sustained activity out of South America, which included soybean business in Brazil, where shipping was hampered by flooding and industrial action. Fresh maize and soybean demand at the US PNW added support more recently, as did brisk trading in Indonesia.
- **Supramax** and **Handysize** values averaged 11 percent and 22 percent lower m/m, respectively. A mid-month rebound in Supramax earnings was partly linked to firmer enquiries in Europe/the Mediterranean, while Handysize rates were recently underpinned by steady spot fixing in South America.
- With declines in prices for low-sulphur marine fuel and weaker time-charter values across the grains and oilseeds carrying sectors, the IGC Grains and Oilseeds Freight Index (GOFI) was quoted 11 percent lower compared to January.

Note: In efforts to more accurately reflect movements in freight costs across grains and oilseeds routes, the number of quotations on which the GOFI is based was increased from 68 to 274 in January 2020, with the new coverage including nominal maize and barley voyage rates, along with HSS (wheat, durum, soybeans, sorghum) values.

Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of **"Markets at a glance"** reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion **"FAO-AMIS"**). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season) . For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

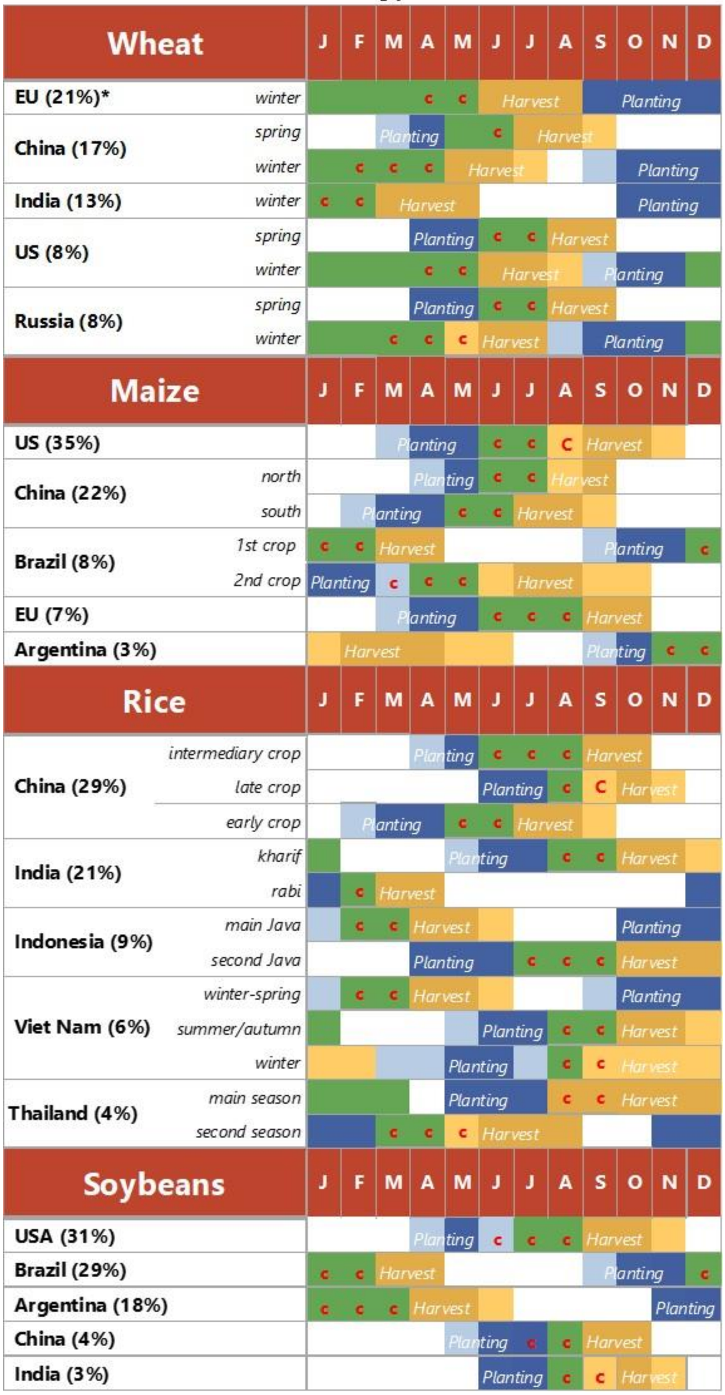
Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

AMIS - GEOGLAM Crop Calendar

Selected leading producers



** Percentages refer to the global share of production (average 2013-15).*

Planting (peak) · Harvest (peak) · Planting · Harvest · C Weather conditions in this period are critical for yields. · Growing period

Main sources
Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

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Contacts and Subscriptions

AMIS Secretariat Email:
AMIS-Secretariat@fao.org

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